

APPENDIX 1

HOW WE FIND MILLIONAIRES

How do we go about finding millionaires to survey? A “C” student of ours once tried to answer this question in a marketing research course. He suggested that we merely obtain a list of people who drive luxury cars. As readers know by now, however, most millionaires do not drive luxury cars. Most luxury car drivers are not millionaires. No, this method will not work!

TARGETING BY NEIGHBORHOOD

The method used in our most recent study, as well as many others we have conducted, was developed by our friend Jon Robbin, the inventor of geocoding. Mr. Robbin was the first to classify—or code—each of the more than 300,000 neighborhoods in America. Using this system, one can code more than 90 percent of America’s 100 million households.

Mr. Robbin coded these neighborhoods first according to the average income for each. Next, he estimated the average net worth of each neighborhood by first determining the average interest income, net rental income, et. al. generated by households in each neighborhood. Then, using his mathematical “capitalization model,” he estimated the average net worth that would be required to generate such incomes. Once he had determined the estimated average net worth for each neighborhood, he assigned each a code. A code of one was assigned to the neighborhood with the highest estimated average net worth; a two was assigned to the neighborhood with the next highest average net worth, and so on. (Also see Thomas J. Stanley and Murphy A. Sewall, “The Response of Affluent Consumers to Mail Surveys,” *Journal of Advertising Research* [June/July 1986], pp. 55–58.)